MODULE 01 · CASE STUDY 3 · PRE-READ FOR CLASS 3

# Two Cases: Who It Is For

*The Customer Nobody Could See · Two Apps, One Dinner*

**READ THIS BEFORE CLASS**

There are two cases in this document and the next session covers both. The first is about four very rich companies in Mumbai and Bengaluru all building for the same man, and one company that went looking for somebody else. The second is about two apps that are almost certainly both on your phone right now, and the fact that you use them differently without ever having decided to.

Read them in order. As always: no frameworks, no definitions, nothing to memorise. Two stories, the people in them, and the numbers underneath.

| 2 | 35–40 | 8 |
|---|---|---|
| Cases | Minutes to read | Questions to bring |

*Zenith School of AI · Customer Discovery · Semester 1*

# CASE A

## The Customer Nobody Could See

*Four companies chased the same Indian shopper. One went and found a different one — thirteen million of her.*

**READING TIME:** 18–22 minutes

**HOW TO READ THIS CASE**

Most business stories are told product-first: somebody had a clever idea, built it, and customers arrived. This one is told the other way round, because that is the order in which it actually happened.

As you read, keep one question running: **what would I have to know about a person's daily life before this product would seem obvious to me?** Every detail you will meet — a share button, a payment method, the language on a screen, a fee that is not charged — was chosen by somebody, for a reason. Try to guess the reason before the case gives it to you. And when you reach the last section, notice that a company doing what looks like the same thing spent ₹2,000 crore and failed.

### 1 India, 2015: Four Companies, One Customer

To understand what Meesho found, you first have to understand how crowded the room already was.

In 2015 Indian e-commerce was the most heavily funded consumer market in the country. Flipkart, founded in 2007 by Sachin Bansal and Binny Bansal, was valued at roughly $15 billion — the most valuable private company India had produced. Amazon had entered in 2013 and Jeff Bezos had committed $2 billion, followed by another $3 billion in 2016; Amazon India was not trying to make money, it was trying to buy the market. Snapdeal, run by Kunal Bahl and Rohit Bansal, had taken $500 million from SoftBank in 2014 at a valuation around $6.5 billion.

Between them these companies were burning extraordinary amounts of money. Flipkart reported a loss of approximately ₹5,200 crore in FY2016; Amazon India's ran into thousands of crores a year. Almost all of it went into discounts and delivery. A phone costing the platform ₹12,000 was sold at ₹10,500 in a festive sale, and the ₹1,500 gap was treated as the price of acquiring a customer. Industry estimates then put the cost of acquiring one paying e-commerce customer at ₹1,000 to ₹2,000 — a frightening number when that customer places four orders a year at ₹800 each.

Here is the part that does not show up in the funding numbers. Every one of these companies was building for the same person. Not a similar person — the same person. Roughly 40 to 50 million Indians shopped online in 2015, out of 1.3 billion: under four percent of the country. Those 40 million shared a tight profile — top thirty or forty cities, read and typed in English, held a card or used net banking, had a delivery address a courier could find, and were mostly men between 22 and 40 buying phones, electronics and books.

When four well-funded companies build for one customer, competition stops being about the product and becomes about the price. The apps looked the same, the catalogues overlapped, the delivery promises converged. Everyone was optimising the same product for the same person.

## 2 The Customer Everyone Could See: Rohit, 27, Bengaluru

Make the visible customer concrete. Rohit is 27, a software engineer at a mid-sized IT services company in Bengaluru earning about ₹9 lakh a year. He shares a 2BHK in HSR Layout with two colleagues. He owns a laptop, a ₹25,000 Android phone, a debit card and a credit card that came with his salary account. He reads and writes English at work all day. He has a delivery address a Flipkart courier has already visited eleven times this year.

Rohit is a wonderful customer in one specific sense: he is easy. He can be reached with an English ad on Facebook, pay online without help, and complete a purchase without speaking to a human being. From the point of view of a company building software, he is a customer whose entire journey can be handled by a screen — which is why all four companies were fighting over him, and why his loyalty was worth almost nothing. His switching cost was one tap.

Now notice a consequence of building for him. A product built for Rohit assumes Rohit's abilities: an English interface, an online payment step, a search bar that assumes you already know the name of the thing you want. Nobody in those four companies held a meeting and decided to exclude 96% of India.

> **WORTH PAUSING ON**
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> Write down three assumptions the Flipkart app of 2015 made about the person using it. Not features — assumptions. Then, next to each one, write down the kind of person it quietly rules out.
>
> Keep that list. You will need it twice in the next hour of reading.

## 3 The Customer Nobody Could See: Sunita, 28, Kanpur

Now meet the person this case is really about. Sunita is 28 and lives in Kanpur in a two-room house. Her husband supervises at a small manufacturing unit and earns about ₹15,000 a month. They have two children, aged six and three. Household expenses run to roughly ₹13,000, so the family saves ₹2,000 in a good month and nothing in a bad one.

Five specific facts about her life will turn out to matter more than any technology decision anyone could make.

**One:** she has a ₹7,000 second-hand Android phone with a Jio connection and uses it three hours a day. **Two:** almost all of that is WhatsApp and YouTube — she is in nine groups, including four where women share photographs of clothes and household items they have bought. **Three:** she has never made an online payment. There is a bank account in her name that her husband opened, and she has no debit card. **Four:** she reads Hindi comfortably and English slowly, and will not read an English product description. **Five:** she wants to earn, and has wanted to for four years, but cannot leave the house between 7am and 4pm because of the children, and cannot invest capital because there is none.

Read that list as a business person rather than as a biography. It tells you what a product is *not allowed* to do. She cannot pay online, so any product needing an online payment is dead. She cannot invest capital, so any product needing inventory purchase is dead. She cannot leave during the day, so any product needing a shop or fixed hours is dead. She will not read English, so any English-only interface is dead. Four sentences, and you have eliminated every e-commerce and micro-entrepreneurship product that existed in India in 2015.

And now the sixth fact. In those four WhatsApp groups, she was the one who noticed things. When she found a good kurta at a good price she photographed it and sent it to the group, and three or four women would ask where she

had bought it. Twice she had gone back, bought four extra pieces with money the others gave her in advance, and delivered them. She did not think of this as a business. She thought of it as being helpful.

There were, conservatively, tens of millions of Sunitas in India.

## 4 Vidit and Sanjeev: A Failed Startup That Talked to the Right People

Meesho did not begin as Meesho, and this is the most useful part of the story for anyone in this room.

In December 2015 two IIT Delhi graduates — Vidit Aatrey and Sanjeev Barnwal — quit their jobs to start a company. Vidit had worked at ITC and then at InMobi, the Bengaluru mobile advertising company. Sanjeev was an engineer who had worked at Sony in Japan. They had known each other since college.

Their first company was FashNear: 'hyperlocal fashion', an app to browse clothes from boutiques within a few kilometres and have them delivered within an hour. Hyperlocal was the funded, fashionable category of that year. It did not work. Order volumes were small, repeat rates were poor, and after several months the founders were facing the unglamorous fact that their idea was not working.

What they did next is the whole story. Instead of redesigning the app again, they went and sat with the boutique owners who were supposed to be their supply side — small shops in HSR Layout and Koramangala — and asked one question: where does your business actually come from? The answer, shop after shop, was not walk-ins and certainly not apps. It was WhatsApp and Facebook. Owners were photographing stock, posting it into groups, taking orders in the chat and collecting payment on delivery — running a real business through a messaging app with no commerce features at all.

Then came the observation that made the company. It was not only shop owners doing this. Ordinary women — customers, not shopkeepers — were photographing products from these shops and reselling them to their own WhatsApp networks at a small markup, with no inventory, no shop and no capital, making a few thousand rupees a month. The founders had gone looking for a supply problem and found somebody else entirely.

In 2016 they shut FashNear and rebuilt around her. The new name was Meesho — a compression of 'Meri Shop', my shop, in Hindi. That same year Meesho joined Y Combinator's Winter 2016 batch, and the funding history reads like a straight line: SAIF Partners and Sequoia India early, Facebook in 2019 in its first-ever Indian startup investment, then SoftBank's Vision Fund in April 2021 at about $2.1 billion and a $570 million round that September at approximately $4.9 billion.

> **HOLD THIS THOUGHT**
>
> Flipkart, Snapdeal and Amazon are names about the company. 'Meri Shop' is a name about the person using it, in her language, describing what she becomes when she uses it.
>
> That is either a marketing detail or the most important decision in the case. Decide which before class, and be ready to defend it.

## 5 What Meesho Actually Built

Take the product apart and look at the decisions one at a time. Every one of them was a choice, and every one of them had an alternative that most companies would have picked instead.

**Zero inventory.** The reseller never buys stock. She browses a catalogue held by suppliers — largely garment and household-goods suppliers clustered around Surat, Delhi, Jaipur and Tiruppur — and only when her customer orders does Meesho ship directly to that customer's address.

**A share button where the buy button usually is.** Meesho's core action is not 'buy', it is 'share'. Tap a product and the app packages the images and the price for forwarding straight into a WhatsApp group. The images are sized for a chat window, and the price is burned into the image so that it survives being forwarded on.

**A margin field.** When she shares a product she sets her own markup. Meesho shows the supplier price — say ₹280 for a saree — and she decides whether to share it at ₹320 or ₹350, keeping the difference.

**Cash on delivery as the default rather than the fallback.** For years the overwhelming majority of Meesho orders were paid in cash at the door. Cash on delivery is expensive and operationally painful. Meesho also made the platform, not the reseller, absorb the cost of returns.

**Hindi first, then eight more languages.** The app was not built in English and translated later.

Look at those five decisions together. Read individually, each one sounds like a different kind of choice — 'zero inventory' sounds like a warehousing decision, 'cash on delivery' like a payments decision, 'Hindi first' like a localisation decision. Read together, they are not five decisions at all.

## 6 Why the Giants Could Not Simply Copy It

A reasonable objection: Meesho found her first, but Flipkart had $15 billion of value and Amazon had unlimited money. Why not build the same thing in six months?

They tried. In July 2021 Flipkart launched Shopsy, explicitly a reseller platform in the Meesho mould; Amazon opened a low-price storefront for the same segment years later. Neither displaced Meesho. Three facts explain most of why.

**First, supply.** Meesho's catalogue is not the branded catalogue the incumbents spent a decade building. It is tens of thousands of small, unbranded suppliers — a saree wholesaler in Surat with no registered brand, a garment unit in Tiruppur. Onboarding them needed low minimum orders, no brand compliance, tolerance for inconsistent photography, and patience with businesses that had never sold online. Flipkart's supplier operations were built to handle Samsung and Levi's. Meesho's were built to handle a man with a phone and 400 sarees.

**Second, price architecture.** Much of Meesho's catalogue sits under ₹300 and a good part under ₹150. Making money on a ₹149 order shipped to Gorakhpur with cash collected at the door needs a cost structure that a company optimised for ₹2,000 order values does not have — which is why Meesho eventually built its own logistics layer.

**Third, the commission decision.** In 2021 Meesho moved to zero commission for sellers, taking no percentage of the product sale at all and monetising through in-platform advertising and logistics instead. For an incumbent that is close to unthinkable: the commission line is the revenue line. Meesho reported approximately ₹5,735 crore of revenue in FY23 against a net loss of about ₹1,675 crore, then approximately ₹7,615 crore in FY24 with the loss narrowing to roughly ₹305 crore.

## 7 The Numbers: What Sunita Earns, and What Meesho Earns

A business only exists if the arithmetic works for the customer as well as for the company, so put rupee figures on both sides.

A typical order: a saree listed by a Surat supplier at ₹280. Sunita shares it into two groups with her markup set at ₹70, so her buyer pays ₹350 in cash on delivery. Meesho collects the ₹350, pays the supplier and the shipping out of the platform's own economics, and credits ₹70 to her account.

Her gross margin is ₹70 on ₹350, or 20% — and that term is worth defining precisely, because it recurs all semester. *Gross margin* is what is left from the sale price after the direct cost of the thing sold. It is not profit, because it does not yet subtract effort or time. Her cost of goods is ₹280, her revenue ₹350, her gross profit ₹70. What makes her position unusual is that her invested capital is zero. She did not buy the saree. Her only inputs are a phone, a data pack and her attention.

| RESELLER | ORDERS A MONTH | WHAT SHE EARNS A MONTH |
|---|---|---|
| **Casual** | 3–4 | ₹200–400. Real, but small. |
| **Committed** | 60–100, two to three hours a day across several groups, average margin ₹60 | ₹4,000–6,000 |
| **Top tier** | A full business with her own sub-network of buyers | ₹20,000–25,000 — more than Sunita's husband earns at the factory |

That distribution is steeply skewed and it is worth saying so plainly. The honest claim is not that Meesho makes women rich. It is that Meesho converted a zero-capital, zero-mobility position into a real if modest income for a very large number of people.

Now the platform side. By 2021 Meesho reported more than 13 million active resellers, roughly 80% of them women, at a valuation of approximately $4.9 billion. Set the acquisition economics against the Rohit market: Flipkart and Amazon paid ₹1,000 to ₹2,000 to acquire a customer through advertising, while Meesho's growth ran through resellers recruiting buyers inside WhatsApp groups — a channel Meesho does not pay for and did not build.

| | FLIPKART, 2015 | MEESHO, 2021–24 |
|---|---|---|
| **Order value** | ₹1,200–2,000 | Around ₹300 |
| **Cost to acquire a customer** | ₹1,000–2,000, paid in advertising | Far lower — buyers arrive through resellers' own groups |
| **Catalogue** | Branded electronics and fashion | Unbranded small suppliers |
| **Where the revenue comes from** | Commission on the sale | Zero commission; advertising and logistics |
| **Profitability** | Losses in the thousands of crores, driven by discounting | FY24 loss ₹305 crore on revenue of ₹7,615 crore |

## 8 The Counter-Case: The Tata Nano

If the case ended here it would teach something false — find an ignored customer, build for their constraints, get rich. So here is the other half, and it is the half worth remembering.

In the early 2000s Ratan Tata, then chairman of the Tata Group, was driving through Mumbai in the rain and saw something ordinary: a family of four on a two-wheeler. Father driving, small child standing in front, mother behind holding a baby, all of them in the rain, all of them a pothole away from serious injury.

That is an observation of exactly the kind this case has been describing, and it was correct in every factual particular. The family could afford a scooter at roughly ₹40,000 and could not afford a car at ₹3 lakh. They were already travelling as a family on one vehicle, so the need was demonstrated rather than hypothetical. Tata Motors set an audacious target — a real car meeting safety and emissions rules at ₹1 lakh — and the engineering was extraordinary. The Nano was unveiled in 2008 and launched in 2009, with a dedicated plant at Sanand in Gujarat reported at around ₹2,000 crore and a capacity of roughly 250,000 cars a year.

It failed.

| YEAR | NANO UNITS SOLD |
|---|---|
| **Plant capacity, per year** | ~250,000 |
| **FY2012 (peak)** | ~74,500 |
| **FY2017** | ~7,591 |
| **2018–2020** | A trickle, then production ended |

Two contributing factors are usually cited. The land acquisition crisis at Singur forced a mid-project relocation of the plant, which cost time. A few publicised fire incidents in early units dented trust. Both are real, and between them they explain delay and damaged confidence in the first two or three years.

They do not explain a decade of rejection by the exact customers the car was designed for. And there is one more fact that has to sit alongside them: Maruti Suzuki went on selling the Alto — costing two to three times as much — to broadly the same upgrading families, in very large numbers, for years. The Nano was marketed, relentlessly and successfully, as the world's cheapest car.

## 9 The Question This Case Sets Up

Both companies started in the same place: somebody looked hard at a person nobody was building for, and read that person's life accurately. Meesho read Sunita's phone, her groups, her missing debit card and her missing capital, and got almost everything right. Tata Motors read the scooter family's income, their vehicle and their monsoon, and got all of that right too.

One of them is worth $4.9 billion. The other one shut down a ₹2,000 crore plant.

So something was read correctly in Kanpur that was missed in Mumbai, and it is not money, not engineering and not effort. Come with a guess at what it was. The class begins there.

# CASE B

## Two Apps, One Dinner

*Swiggy and Zomato started with the same idea and built different companies, because they were feeding different people.*

**READING TIME:** 18–22 minutes

**HOW TO READ THIS CASE**

You almost certainly have both of these apps on your phone, and you almost certainly use them differently without ever having thought about why. That is the case.

As you read, keep a running note of every moment where the two companies made an **opposite** decision — one built something the other deliberately did not. Resist the urge to decide which company is better. Both are worth many thousands of crores, both are listed on the stock exchange, and both got there by refusing to serve somebody. The interesting question is not who won. It is what each of them chose to be bad at, and why that choice was correct.

### 1 India, 2015: One Idea, Two Companies

In 2015, if you had described the Indian food-delivery market to an outsider, it would have sounded like one business with several competitors. Restaurants existed. Hungry people existed. Smartphones had arrived, 3G worked in the big cities, and somebody was obviously going to connect the two. Zomato, Swiggy, Foodpanda, TinyOwl and half a dozen smaller apps were all doing versions of it, and the funding market treated them as interchangeable bets on the same thesis.

They were not interchangeable. Two of those companies survived to become listed public companies worth many thousands of crores each, and the reason has almost nothing to do with technology.

Zomato, founded in 2008, had spent seven years building a product for a person deciding where to eat. Swiggy, founded in 2014, built a product for a person who had already decided they were hungry and wanted food to arrive. Those sound like the same customer.

The market gave both companies the same raw material: roughly the same restaurants, the same cities, the same delivery riders on the same roads, and investors offering money on similar terms. Read the next two sections as two portraits of a person, not two company histories.

### 2 Deepinder Goyal and the Photocopied Menu Card

In 2008 Deepinder Goyal was working at Bain & Company in Delhi with a colleague named Pankaj Chaddah. Both were IIT graduates doing the kind of job where lunch is a small daily negotiation. Deepinder noticed something ordinary in the office pantry: a queue. People were waiting to photocopy the paper menu cards of nearby restaurants, because there was one physical copy of each and forty people who wanted to look at it before ordering.

Nobody in that queue was hungry yet. They were deciding.

Deepinder scanned the menu cards and put them on an internal web page. Traffic on that page grew faster than anything else the office intranet hosted. The product that became Zomato — first called Foodiebay, renamed in 2010 — was built out of that observation, and it kept the shape of it for the next decade.

Look at what Zomato spent its first seven years building, before food delivery was part of the business at all. Full menus for restaurants, typed out and kept current, including restaurants that had no interest in delivering anything. Photographs, both professional and user-uploaded. Reviews and star ratings, with a reviewer reputation system. Address, phone number, opening hours, whether there was parking, whether it took cards, whether it served alcohol. Curated collections — best rooftop bars in Delhi, where to eat in Indiranagar.

None of that is delivery infrastructure, and all of it is expensive: Zomato ran on-ground teams whose job was physically visiting restaurants to photograph menus and verify details, city by city, country by country.

The transaction, in early Zomato, was almost an afterthought — you found the restaurant, and then you went there, or you telephoned them yourself. The early revenue reflected that exactly: it came from restaurants paying to advertise inside a decision-making tool, the way a business pays for a listing in a directory people actually read. Info Edge, the company behind Naukri, was the first serious investor, and that is not a coincidence — Naukri is also a business where one side pays to be visible to a side that is browsing.

## 3 Sriharsha Majety and the Courier Company That Failed

Swiggy's founders arrived from a different direction, and their first company failed first. In 2013 Sriharsha Majety and Nandan Reddy started Bundl, an aggregator for courier services in India. It did not work. What they took away from it was not a lesson about couriers; it was an obsession with the physical problem of moving a small parcel across a city reliably. When they looked at food in 2014, they did not see a discovery problem. They saw a logistics problem wearing a menu.

They recruited Rahul Jaimini, an engineer from Myntra, and launched Swiggy in Koramangala, Bengaluru — one neighbourhood, a few dozen restaurants. The customer they had in mind was specific and unglamorous: a working person, usually in their twenties, at home or at a desk, who was already hungry, had already decided they were not cooking, and wanted the decision to be over.

The single decision that defined Swiggy followed from that portrait, and at the time it looked like a mistake. Every competitor, including Foodpanda and the international players, ran an asset-light model: the app took the order and the restaurant delivered it with its own boy on his own scooter. That is cheaper, scales faster, and requires no operations team. Swiggy hired and managed its own delivery fleet instead — thousands of people on the payroll of a startup with no revenue. Investors asked the obvious question about why a software company was buying a logistics problem.

Consider what happens on a busy Friday night to a restaurant with two delivery boys and both a walk-in queue and an app order. It sends them to its own customers first. That is rational for the restaurant.

Everything else at Swiggy followed the same line: no minimum order value, so a single ₹120 biryani was a legitimate order; a prominent live ETA; one-tap reorder for the four places you always order from; and, deliberately, far less content, fewer reviews, and no rooftop-bar collections. Swiggy's early app was harder to browse than Zomato's. That was not an oversight.

## 4 Ananya and Rohan: Two Customers, One City

Make the two customers concrete, because everything after this depends on being able to see them separately.

**Ananya** is 29, a marketing manager in Mumbai earning about ₹18 lakh a year. She eats out or orders in roughly six times a month, and about half of those are occasions — a friend's birthday, a Sunday lunch with her parents, a first date, a team dinner she has been asked to organise. She reads reviews. She looks at photographs of the interior before choosing. She has an opinion about which places are overrated. When she orders in she often already knows what she wants, but the choosing itself is something she enjoys, and she frequently spends eight or nine minutes in the app before ordering anything.

**Rohan** is 26, a product analyst in Bengaluru earning about ₹14 lakh. He orders in eleven or twelve times a month and almost none of them are occasions. He orders because it is 9:40pm, he has been in meetings since four, the fridge has two eggs in it, and he needs to eat. He opens the app already hungry. He orders from the same four restaurants in rotation. He does not read reviews — he read them once, two years ago, and the four survivors of that process are now his entire universe. What he notices, every single time, is the ETA and whether it was honest.

Now put one product decision in front of both of them. Rich discovery — collections, photographs, filters, editorial — at 9:40pm sits between Rohan and dinner. Take that same material away from Ananya and you have removed the thing she came for; she will go and find it somewhere else, probably on the app that still has it.

> **WORTH PAUSING ON**
>
> Here is the fact that makes this genuinely difficult rather than merely tedious. Ananya at 9:40pm on a Wednesday behaves exactly like Rohan. Rohan on his sister's birthday behaves exactly like Ananya.
>
> They are frequently the same human being. So what, precisely, is being divided when you divide a market like this one? Write down your answer in one sentence before you read on — you will be asked for it.

## 5 When a Choice Hardens Into a Company

A choice about who you are for starts as a preference and, within about two years, becomes a set of assets, habits and people that are very hard to reverse. That is the part students underestimate.

On Zomato's side, serving the deciding customer meant building and maintaining a content operation: field teams verifying menus, a review system with moderation, a photo pipeline, and a search and recommendation layer over all of it. It meant an advertising sales team, because the natural way to make money from a person who is choosing is to charge the businesses that want to be chosen. It meant a dining-out product — table bookings, restaurant deals, the Zomato Gold membership that gave you complimentary dishes at partner restaurants — which only makes sense for a customer who physically leaves the house. That produces an organisation full of people whose skills are content, sales and merchandising.

On Swiggy's side, serving the hungry customer meant building a delivery network: rider acquisition and training in every city, a dispatch algorithm assigning orders in real time, batching logic, live tracking infrastructure, and a support operation for orders that go wrong. Because the promise is reliability, it also meant an obsession with the worst orders rather than the average one — a delivery time of thirty-four minutes on average is meaningless if one order in twenty takes ninety. That produces an organisation full of operations people and logistics engineers, and a very different cost line: Swiggy pays for every single delivery, whether or not the customer is delighted.

Notice the revenue consequence, which is the cleanest contrast in the case. Zomato's early money came substantially from restaurant advertising — high gross margin, and almost no extra cost for one more user, because showing an ad to one more person costs nothing. Swiggy's money came from commission and delivery fees on

transactions, each of which carries a payout to a rider. The same market, entered two years apart, produced two fundamentally different financial machines.

## 6 The Numbers: One Order, and Two Companies

Start with a single order, because the whole industry runs on a number most customers never see.

| LINE | TYPICAL FIGURE |
|---|---|
| **Average order value — what the customer spends per order** | ₹400–450 |
| **Commission charged to the restaurant (18–25%)** | about ₹90 |
| **Delivery fee paid by the customer, plus a small platform fee** | ₹25–40 |
| **Paid out to the delivery partner for the trip** | ₹50–70 |
| **Given straight back to the customer as discount** | Varies, often the difference between profit and loss |

What is left is called *contribution margin*: what remains after every cost that goes up when you do one more order. (Compare it with gross margin, which is what remains after the direct cost of the thing sold.) For most of this industry's history that number was negative, which is why both companies lost enormous sums for years, and why the discount wars of 2016 to 2019 were survivable only for the two companies with the deepest funding. By FY2024 it had turned positive and thin — a few tens of rupees per order.

Now the two companies.

| COMPANY | LISTING | FY2024 |
|---|---|---|
| **Zomato** | July 2021, raising roughly ₹9,375 crore — the first of the big Indian consumer internet IPOs. | Revenue approximately ₹12,100 crore and a first full year of profit, roughly ₹350 crore. Three legs: food delivery; the dining-out and advertising business that traces directly back to the menu-card page; and Blinkit, the quick-commerce company acquired in 2022 in an all-stock deal valued at roughly ₹4,447 crore. The listed parent later renamed itself Eternal. |
| **Swiggy** | November 2024, raising roughly ₹11,327 crore. | Revenue approximately ₹11,200 crore against a loss of roughly ₹2,350 crore. The business is weighted more heavily towards delivery and towards Instamart, its own quick-commerce arm. |

Comparable revenue. Materially different profitability. Read the two sets of figures side by side and something about the shape of a decision made ten years earlier is still visible in them.

## 7 The Counter-Case: The Company With No Answer

Both of the above are successes, which makes them weak teachers on their own. So here is the third company.

Uber launched UberEats in India in 2017. Uber was, at that moment, one of the best-capitalised and most operationally sophisticated companies on earth, with an existing Indian rider network, an existing app with millions of Indian users, an existing payments relationship, and a global food-delivery product already running in dozens of countries.

Now ask the question this case has been asking all along: who, specifically, was UberEats India for?

It had almost no content, no reviews worth reading, no menus for restaurants that did not deliver, and no dining-out product. Its delivery operation in India was newer and thinner than Swiggy's, its restaurant coverage in any given neighbourhood was smaller, and its ETAs were less trustworthy precisely because it had fewer riders per square kilometre. What it had instead was a discount. For two years the honest answer to 'why would you order on UberEats' was 'because this week the coupon is bigger.'

UberEats India reached only a small share of the market — commonly estimated in the low single digits to around ten percent, depending on the city and the month. In January 2020 Uber sold the India business to Zomato in an all-stock deal valued at roughly $350 million, taking a stake in Zomato instead. Foodpanda's Indian business had followed a similar arc: acquired by Ola in 2017, its food-delivery operation was effectively wound down within two years.

Note two things carefully before drawing any conclusion. UberEats was not late — it launched into a market that was still being fought over. And it did not run out of money: it had more money than Swiggy did.

## 8 The Complication: Today They Look the Same

A sharp student will raise this, so meet it head-on. Today the two apps look far more similar than they did in 2016. Zomato built a real delivery network and now competes on speed. Swiggy added restaurant discovery, reviews, and Swiggy Dineout for eating out. Both run quick-commerce arms — Blinkit and Instamart.

Both companies expanded from where they started, and the expansions cost real money and did not all work. Zomato shut down Infinity Dining and reworked its Gold programme more than once after restaurants revolted against the economics. Swiggy has run and closed several experiments, including standalone offerings aimed at single-serve meals.

Zomato expanded into delivery while holding the largest restaurant content asset in the country and a profitable advertising relationship with those restaurants. Swiggy expanded into discovery and groceries while holding the best delivery network in the country — which is precisely the asset a ten-minute grocery business needs.

And one more thing to notice: even now, the two apps are not the same. Open both and look at what occupies the top third of the screen, how many taps stand between you and a repeat order, how much editorial content there is, and how prominent the ratings are compared with the ETA.

## 9 The Question This Case Sets Up

In Case A, one company went looking for a customer nobody was serving and found her. That is difficult, but it is a search: you keep looking, and eventually you find somebody.

Case B is a harder problem. Zomato and Swiggy were both standing in front of the same market with several real customers in it — all genuine, all willing to pay — and could only build well for one at a time. Choosing is uncomfortable in a way that searching is not, because every choice is also a refusal, and the refusals are the part founders find almost impossible to say out loud.

So bring an answer to this: if you were Swiggy in 2015, with twenty engineers and one year of money, what is the sentence you would write on the wall to settle every argument about what to build next? Not a slogan. A sentence specific enough that it tells the room what *not* to build.

# BEFORE YOU COME TO CLASS

> **HOW TO USE THIS PAGE**
>
> Eight questions — four on each case. A line or two each is enough. Nothing here is collected or graded, but you will be asked for your answers in the room, and the questions are built so that a wrong answer is more useful than no answer.
>
> There are no model answers at the back of this document. That is deliberate.

## On the Customer Nobody Could See

1. **Flipkart, Amazon, Snapdeal and early Meesho all built for the same person.** Name the one thing all four assumed about their customer that turned out to be a locked door for Sunita. One sentence — and pick the assumption you think locked out the most people, not the most obvious one.

2. **Pick any three of the five things Meesho built** (zero inventory, the share button, the margin field, cash on delivery, Hindi first). For each one, write down the fact about Sunita's life that made it necessary. Then write down what that feature would look like if it had been designed for Rohit instead.

3. **The Nano's engineering worked and the car did not sell.** Singur and the fire incidents are the usual explanations. Argue that they are not enough — and then say what you think the missing explanation is. Guessing is fine here; a specific wrong guess is worth far more in the room than a safe non-answer.

4. **Now think about something you own.** Name one product in your house that was clearly not designed for someone like you — different age, income, town size or language. What does it assume about the person using it, and what would have to change for it to fit your life?

## On Two Apps, One Dinner

5. **Open both apps on your phone right now, if you have them.** Look at the first screen of each. Write down three differences you can actually see — where things sit, how many taps, what is big and what is small. Bring the list; we will put them on the board.

6. **Think of your own last two food orders** (or your family's). For each: were you deciding, or were you already hungry? How long were you in the app? Bring both numbers — the class needs real ones, not invented ones.

7. **Swiggy hired thousands of delivery riders when every competitor was doing it the cheap way.** Make the strongest possible case that this was a mistake, using only the facts in the case. Then say why you think it was not.

8. **UberEats had more money than Swiggy and lost.** If Uber India had hired you in 2017 and given you one instruction — pick who this app is for and refuse everybody else — who would you have picked, and what are the three things you would then have refused to build?

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*Bring your eight answers and at least one thing in these two cases that you think is wrong, overstated, or unfair — to the Nano, to UberEats, or to the four companies that could not see Sunita. Both cases are written to make a point, and points that go unchallenged are worth very little.*